

Introduction

Started by the National Highway Authority of India, FastTag is a comprehensive automated system for electronic toll collection (ETC) in vehicles using National Highways. FastTags are affixed on the vehicles. With the FastTag, as the vehicle passes through the toll plaza, a scanner reads the details and deducts the toll cost from the FastTag account instead of stopping the vehicle for cash, and thus avoiding the long traffic queues at highways along with saving on fuel and time too.

FastTag uses Radio Frequency Identification (RFID) technology for receiving payments from the user's account automatically. RFID controls all the movements of all transactions from the user account to the toll plaza account. And as the users pass through the tolls, they are served with notification with all the details in an SMS.

Users can buy FastTag from allotted bank branches, point of sale counters, banks and recharge it easily online, by cheque, or by cash to travel smoothly through toll plazas. As of now, FastTags are not allowed for two-wheelers.

A combined evaluation report from IIM Kolkata and Transport Corporation of India (TCI) gave startling facts of the country losing around \$6.6 billion to transportation delays. Electronic Toll Collection (ETC) is a government initiative, named the FastTag program, to reduce these delays and boost the economy with digital payments.

National Highway Authority of India (NHAI) under the Ministry of Road Transport & Highways rolled out the FastTag program. NHAI with Indian Highways Management Company Limited (IHMCL) and National Payment Corporation of India (NPCI) are now integrating FastTag with assistance from Issuer Agencies, Toll Plaza concessionaires, and several banks. Standard operating procedures have been defined for users and toll operators.

FastTag system was started as early as in 2014 on the Ahmedabad and Mumbai highway stretch. It was experimental in the beginning and was gradually accepted all over the country.

And on 15th December 2019, the government made FastTag mandatory throughout India. Now there are almost 650+ toll plazas seamlessly connected with FastTag and more to bring the whole network under one umbrella.

Users can still pay in cash directly without this FastTag. But users will be charged double the plaza toll tax amount. So, in keeping the view of